

**Canyon US Real Estate
Debt Fund III L.P.**
(A Delaware limited partnership)

**Financial Statements (Unaudited)
March 31, 2026**

	Page(s)
Financial Statements (Unaudited)	
Statement of Assets, Liabilities and Partners' Capital (Unaudited)	1
Statement of Operations (Unaudited)	2
Statement of Changes in Partners' Capital (Unaudited)	3
Notes to Financial Statements (Unaudited)	4

Canyon US Real Estate Debt Fund III L.P.
(A Delaware limited partnership)
Statement of Assets, Liabilities and Partners' Capital (Unaudited)
March 31, 2026

Assets

Investment in CRED III Master Funds, at fair value	\$ 110,005,085
Cash	2,613,241
Due from partners	<u>1,220</u>
Total assets	<u><u>\$ 112,619,546</u></u>

Liabilities and Partners' Capital

Partners' capital	<u>\$ 112,619,546</u>
Total liabilities and partners' capital	<u><u>\$ 112,619,546</u></u>

Canyon US Real Estate Debt Fund III L.P.

(A Delaware limited partnership)

Statement of Operations (Unaudited)

For the Three Months Ended March 31, 2026

Investment Income

Interest income	\$ 5,967
Total investment income	<u>5,967</u>

Net investment income (loss) allocated from CRED III Master Funds

Dividend income	3,005,252
Interest income	1,831,694
Other income	10,275
Interest expense	(798,332)
Management fees	(348,899)
Amortization of deferred financing costs	(32,288)
Other expenses	<u>(5,235)</u>
Total investment income (loss) allocated from CRED III Master Funds	<u>3,662,467</u>
Net investment income (loss)	<u>3,668,434</u>

Net realized and change in unrealized gain (loss) on investments allocated from CRED III Master Funds

Net realized gain (loss) on investments allocated from CRED III Master Funds	(939)
Change in unrealized gain (loss) on investments allocated from CRED III Master Funds	<u>(823,700)</u>
Change in unrealized gain (loss) on investments allocated from CRED III Master Funds	<u>(824,639)</u>
Net increase (decrease) in partners' capital resulting from operations	<u>\$ 2,843,795</u>

Canyon US Real Estate Debt Fund III L.P.
(A Delaware limited partnership)
Statement of Changes in Partners' Capital (Unaudited)
For the Three Months Ended March 31, 2026

	General Partner	Limited Partners	Total
Partners' capital as of December 31, 2025	\$ 1,587,238	\$ 85,910,673	\$ 87,497,911
Net investment income (loss)	-	3,668,434	3,668,434
Net realized gain (loss) on investments			
allocated from CRED III Master Funds	-	(939)	(939)
Change in unrealized gain (loss) on investments			
allocated from CRED III Master Funds	-	(823,700)	(823,700)
Net increase (decrease) in partners' capital			
resulting from operations	-	2,843,795	2,843,795
Contributions	-	31,355,615	31,355,615
Recallable distributions	-	(5,990,780)	(5,990,780)
Distributions	(281,069)	(2,805,926)	(3,086,995)
Carried Interest	296,723	(296,723)	-
Total increase (decrease) in partners' capital	15,654	25,105,981	25,121,635
Partners' capital as of March 31, 2026	\$ 1,602,892	\$ 111,016,654	\$ 112,619,546

Canyon US Real Estate Debt Fund III L.P.

(A Delaware limited partnership)

Notes to Financial Statements (Unaudited)

For the Three Months Ended March 31, 2026

1. Organization

Canyon US Real Estate Debt Fund III L.P. invests substantially all of its assets through a “master-feeder” structure, together with another affiliated feeder fund, in CRED III Master Fund L.P., a Delaware limited partnership, and CRED III Holdings L.P., a Delaware limited partnership, collectively referred to herein as the “CRED III Master Funds”.